



ESBM 3700 ENTREPRENEURIAL ENVIRONMENTS

LECTURE 2

ENTREPRENEURIAL MINDSET



University of Colorado **Boulder**

Our path

Module 1

Entrepreneurial Mindset

Ideas to Opportunities

Business Models

Sources of Funding

Lean Startup

Lean Startup Exercise

Venture Pitching

Module 2

Choosing Your Customer

Choosing Your Technology

Choosing Your Identity

Choosing Your Competition

Quiz

Module 3

Disruption Strategy

Intellectual Property Strategy

Value Chain Strategy

Architectural Strategy

Bonus: Startup Failure

Bonus: Shark Tank

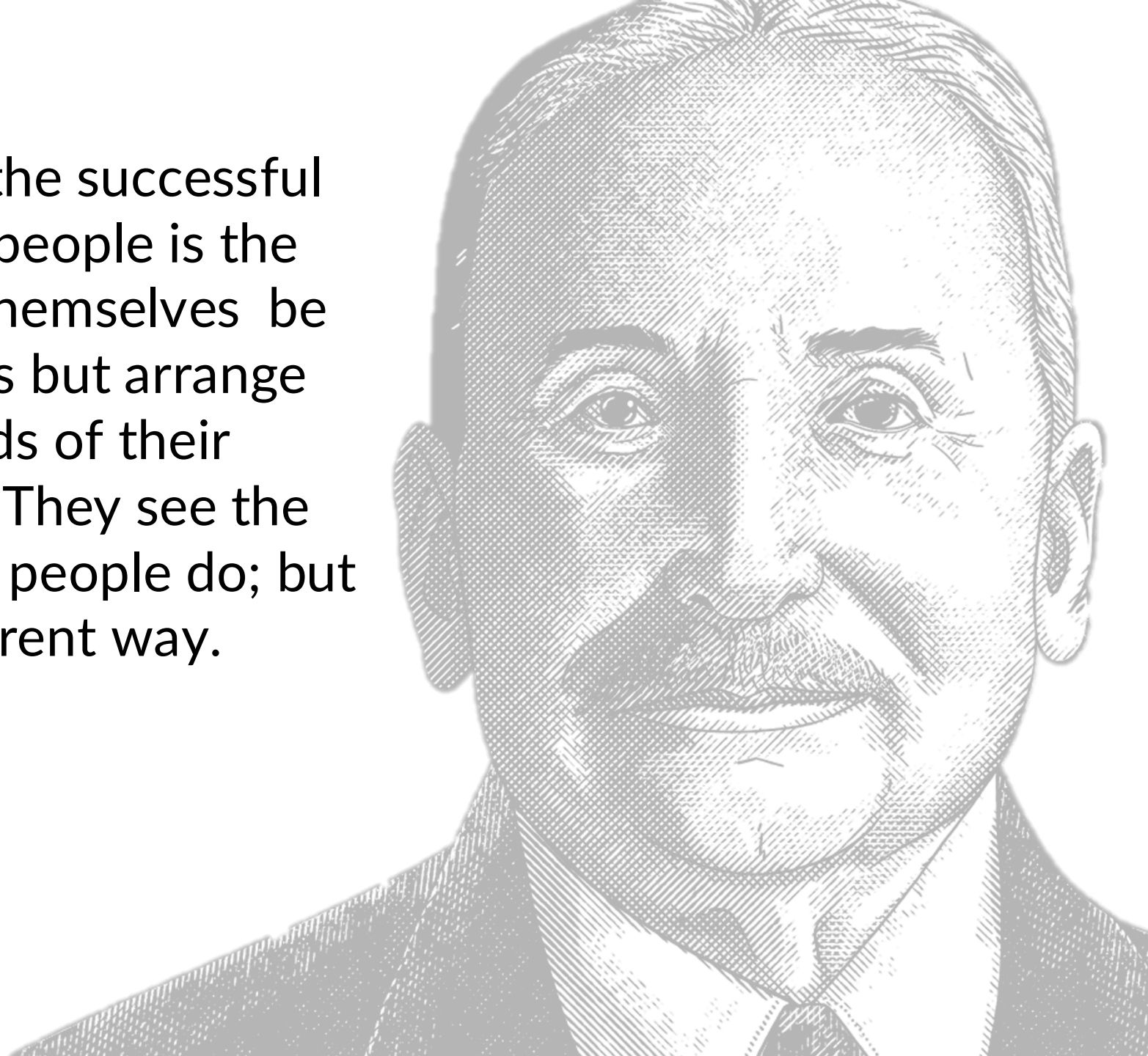
Final Exam

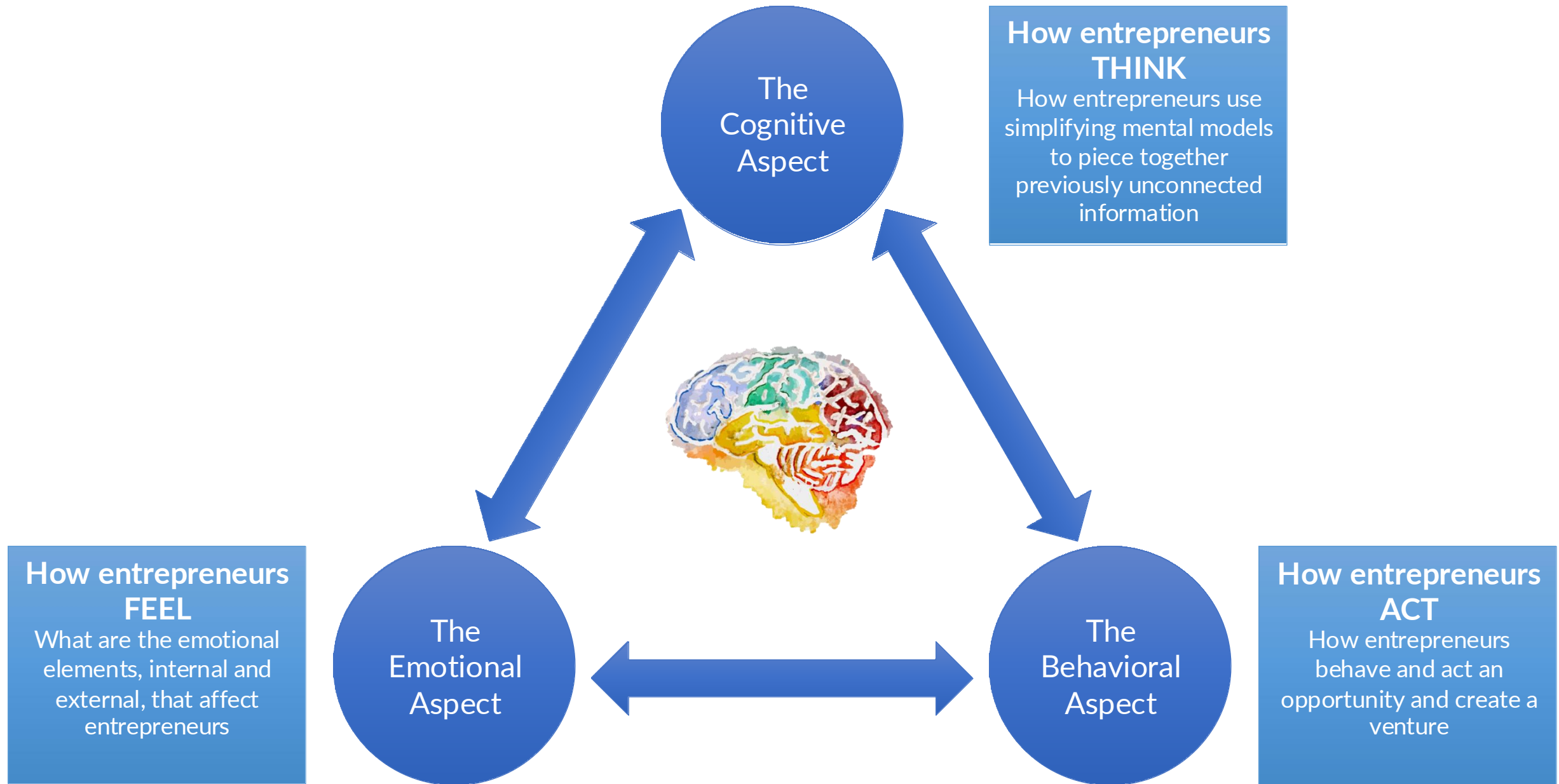
**Is the entrepreneurial mindset different from
other mindsets?**

If so, what makes it different?

“ What distinguishes the successful entrepreneur from other people is the fact that they do not let themselves be guided by what was and is but arrange their affairs on the grounds of their opinion about the future. They see the past and present as other people do; but judge the future in a different way.

Ludwig von Mises
(1881-1973)





The Cognitive Aspect

Relative to non-entrepreneurs, entrepreneurs are more:

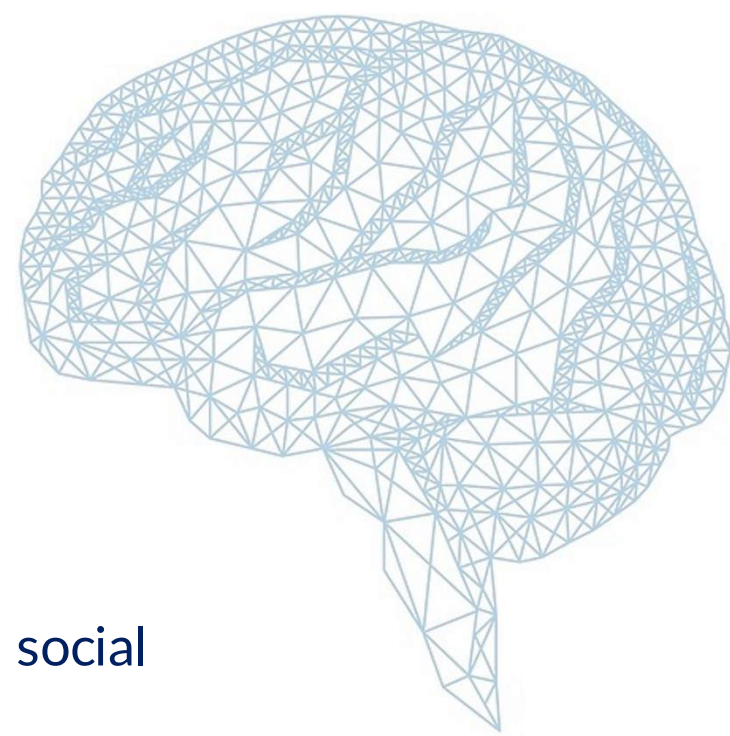
- **optimistic,**
 - Characterizing situations as holding more strengths and opportunities
- **guided by a heuristic-based logic,**
 - Heuristic refers to simplifying strategies that individuals use to make strategic decisions, especially in complex situations where less complete or uncertain information is available.
- **likely to have developed cognitive adaptability.**
 - The ability to be dynamic, flexible self-regulating in one's cognition, given dynamic and uncertain task environments.



The Emotional Aspect

Relative to non-entrepreneurs, entrepreneurs are more:

- **often confronted with risks,**
 - These risks include higher financial risks, career risks, family and social risks, and psychic risks, among others.
- **dealing with stress,**
 - Finding ways to cope with stress is a must in entrepreneurship.
- **prone to overconfidence.**
 - In their performances, entrepreneurs sometimes have a higher expectation of positive outcomes, even when no rational basis for those expectations exists.



The Behavioral Aspect

Relative to non-entrepreneurs, entrepreneurs have to act more:

- **under uncertainty,**
 - Many unknowns, many uncharted areas, much interdependence
- **with resource constraints,**
 - e.g., financial constraints, knowledge constraints, legal constraints
- **through hustling**
 - i.e., performing urgent, unorthodox actions that are intended to be useful in addressing immediate challenges and opportunities under conditions of uncertainty.



The BRISK Framework for Entrepreneurial Mindset

Element	Action Plan
B usiness Opportunity	
R isk Mitigation	
I nnovation	
S trategy	
K nowledge	

Business Opportunity

- Set a simple Opportunity Register.

Business Concept	Related Trends	Key Data	Obstacles & Barriers	Company Position	Competition	Timing

Risk Mitigation

- Have you done your homework (research)?
- Do you have an MVP (minimum viable product)? Can you do hypothesis testing?
- Do you invest enough in people? In relationships? In networks?

Innovation

- Is there a viable IP strategy you can use to reap the profits of your innovation?
 - Patents
 - Trademarks
 - Copyrights
 - Trade secrets
- Do you have the freedom to operate?
 - Doesn't your innovation infringe on others' IP?

Strategy

- What is your commercialization strategy?
 - Entering the market for products? or
 - Entering the market for technology/ideas (through licensing)?
- Is your idea scalable?
 - What are some potential challenges in scaling?

Knowledge

- What are the main learning channels and how can you invest in them?



The BRISK Framework

Element	Action Plan
B usiness Opportunity	• Set a simple <i>Opportunity Register</i> • Develop business models/business plans
R isk Mitigation	• Research; rapid prototyping and hypothesis testing • Invest in people, relationships, and networks
I nnovation	• Is there a viable IP strategy you can use to reap the profits of your innovation? • Do you have freedom to operate?
S trategy	• What is your commercialization strategy? • What are some potential challenges in scaling?
K nowledge	• Identify channels of learning and invest in them

Some Drawbacks

- The stress of entrepreneurial activities can have negative physical and mental consequences.
- Overconfidence can be a dangerous thing.
- Trade-offs between authority, financial gains, and job security should be considered.



THANK YOU!

